Case study : Payne Drug Co.

1. Key performance drivers of Payne

a. Business drivers (how the underlying business drivers performance)

- **Sales volume growth of member stores & new members**
  Payne's sales plan is very growth-driven (2024–27: +20%, +10%, +5%), mainly depending on higher purchasing volumes of existing member drugstores and continued growth in the number of members. If volume growth disappoints, the whole plan (margins, EBITDA, dividend) is at risk.

- **Competitive position vs big chains (margin pressure)**
  In a fiercely price-competitive drugstore market, Payne's ability to negotiate good purchase prices and offer a differentiated assortment drives its **gross margin (15–16%)**. Any loss of bargaining power with pharmaceuticals or stronger price pressure from chains will immediately hit gross profit and EBITDA.

- **Operating efficiency (cost control vs growth)**
  Salary and other operating costs are planned to grow **slower than sales**, making EBITDA margin rise from 5.3% to 6.1%. If wage inflation, logistics costs or IT/overhead increase faster than expected, this operating leverage disappears and profitability declines.

- **Dependence on working-capital quality (inventory & debtors)**
  Because Payne is a wholesaler, performance depends heavily on **inventory turnover (39–42x)** and **debtor days (30–32)**. Deterioration here (slow-moving stock, late-paying members) would hurt profit and cash flow at the same time.

b. Structure drivers (how the balance sheet & business model are built)

- **Working-capital-heavy asset structure**
  The balance sheet is dominated by **inventory and trade debtors** (together >80% of assets), while fixed assets are small (~€1.8m). That means the business model structurally ties up a lot of capital in stock and receivables, which must be financed continuously.

- **Short-term funding for structural needs (current account)**
  A growing part of that permanent working capital is financed via the **current account overdraft**, which rises from €5.5m (2024) to €8.7m (2027). This is structurally using short-term bank money for long-term needs and increases refinancing/liquidity risk.

- **Co-operative model & dividend structure**
  Payne is a co-operative: members are both customers and shareholders and expect high dividend pay-outs. The pay-out ratio is **100% every year**, so profits are not retained to strengthen equity. The structure therefore relies on occasional new member capital and on bank funding to support growth.

- **Amortising term loans**
  Long-term loans are gradually amortised (from €1.6m to €1.0m, with €100k annual repayments), shortening the maturity of total funding even more and increasing the relative weight of short-term liabilities (current account + creditors).

c. Financial drivers (capital structure, solvency, cash-flow resilience)

- **Solvency trend and leverage**
  Equity stays flat at €8.13m while total assets grow to €27.5m, so **solvency falls from 37.2% to 29.6%** over the plan. This is a key financial-risk driver: the company becomes more leveraged and less shock-resistant exactly when it is growing.

- **Debt level, mix and dependence on overdraft**
  Net Debt/EBITDA is kept at **1.2×**, which looks moderate, but most of this debt is in the form of a flexible current account instead of stable term loans. Dependence on an overdraft for structural funding increases sensitivity to bank behaviour and interest-rate changes.

- **Debt-service capacity (DSR) and interest burden**
  The **debt service ratio (≈0.6–0.9)** shows limited headroom after interest and scheduled repayments. Interest expense grows from €215k to €300k as the current account increases, so any downturn in EBITDA or rise in rates quickly threatens covenant headroom and dividend capacity.

- **Dividend policy as a risk amplifier**
  The **100% pay-out ratio** is also a financial-risk driver: all net profit leaves the company, so no internal buffer is built to absorb shocks, finance growth, or improve solvency. This forces higher reliance on external debt and magnifies downside risk if performance disappoints.

2. My opinion on the case

From a bank's perspective the case is **commercially attractive but financially unbalanced**.

Positives:

- The core business is profitable: **Gross margin** and **EBITDA** margin are stable to slightly improving, and **net profit** grows broadly in line with sales.
- **Net Debt/EBITDA** at 1.2× is conservative for a wholesale / distribution business.
- The cooperative model provides some embedded loyalty from members and potential to raise additional equity through new memberships.

Concerns:

- **Very ambitious growth assumptions** (20% then 10% sales growth) in a mature, highly competitive drugstore market. A downside scenario (e.g. only 5–10% growth) is not shown.
- **100% dividend pay-out** in all projected years, despite strong growth in total assets and working capital. This starves the company of internally generated capital and forces it to fund growth almost entirely with bank lines and supplier credit.
- **Deteriorating solvency**: equity remains flat at €8.13m while the balance sheet grows to €27.5m, so solvency falls below 30%. This is the opposite of what you would like to see when risk (size and working capital) is increasing.
- **Rising dependence on the current account (overdraft)**: the current account grows from €5.5m (2024) to €8.7m (2027), becoming the key funding source for structural working capital. That is short-term money funding long-term needs, which increases refinancing and liquidity risk.
- **Limited debt-service headroom**: the debt service ratio is only 0.6–0.9 throughout the plan, indicating relatively little buffer in cash flows once interest, repayments, and dividends are paid.

Conclusion:
The commercial story makes sense, but the **financial policy is too aggressive**. Without a lower pay-out ratio and/or additional equity, the company becomes too dependent on bank funding and its solvency trend is

negative. As a banker, I would ask management to adjust the plan: retain part of the profit, slow dividend growth, and/or raise more member capital to support the growth safely.

3. How to structure the credit & suggested covenants

Given the above, I would **not** simply grant a straight increase of the current account limit from €7m to €10m. instead I would do:

a) Credit structure

1. **Working-capital facility (revolving current account)**
    - Purpose: finance seasonal and cyclical swings in inventories and trade debtors.
    - Size: increase, but more moderately (e.g. to **€8–9m**, based on peak projected usage plus some headroom).
    - Structure:
        - Borrowing-base linked: e.g. limit = 80% of eligible trade debtors + 50–60% of eligible inventories.
        - Annual "clean-up" requirement (facility must be reduced below a certain level for at least 30 days per year) to ensure it is not purely structural debt.
2. **Term loan for structural working capital / fixed assets**
    - Recognise that a part of the working capital is permanent (roughly €7½m net working capital in the projections).
    - Convert part of the overdraft (say **€1.0–1.5m**) into a 3–5-year amortising term loan.
    - This matches long-term financing to permanent working-capital needs and reduces liquidity risk.
3. **Capex facility (optional, small)**
    - A separate small term loan or capex line for future fixed-asset investments (instead of funding these from the overdraft).

b) Key financial covenants

To support a safer capital structure I would propose:

a. Minimum solvency ratio: e.g. equity / total assets ≥ **30%** at all times.

b. Maximum Net Debt/EBITDA: e.g. ≤ **2.0×** (they are at 1.2× in the plan, so this keeps some buffer).

c. Minimum debt-service coverage ratio (DSCR): EBITDA / (interest + scheduled repayments) ≥ **1.2×**.

d. Dividend / pay-out covenant: dividends limited to **≤50–60% of net profit** as long as solvency is below an agreed target (e.g. 35%). This forces some profit retention.

e. Working-capital discipline:

- Debtor days not to exceed e.g. **35 days**.
- Inventory turnover not to fall below current levels (no structural build-up of slow-moving stock).

In addition, I would require **regular reporting** (quarterly management accounts, borrowing-base certificates, aged debtor/creditor lists) and keep securities over inventories, receivables, and fixed assets.

Overall, I would be willing to support Payne's growth, but only with a **better-matched mix of short- and long-term credit plus stricter covenants and a more conservative dividend policy**.